

DISSENTING OPINION OF Mr. HUDSON.

The Bulgarian Government has advanced a preliminary objection in this case, asking the Court to declare that it lacks jurisdiction to deal with the application filed by the Belgian Government on January 26th, 1938, and to dismiss the Belgian claims. This challenge to the Court's jurisdiction requires that attention be given, at the outset, to the possible sources of jurisdiction, and to the bases upon which Belgium asserts and Bulgaria contests jurisdiction to deal with this case. If two States parties to a case before the Court agree that the Court has jurisdiction, it will usually be unnecessary for the Court to look further for confirmation of its jurisdiction; but where, as here, the jurisdiction is contested, the Court must look for a source of its jurisdiction in the applicable law in spite of the fact that the parties may trace their contentions to the same source or sources.

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In the diplomatic correspondence which preceded the filing of the Belgian Application, the Belgian-Bulgarian Treaty of conciliation, arbitration and judicial settlement of June 23rd, 1931, was put forward by the Belgian Minister at Sofia as the sole source of the jurisdiction to be invoked. In a letter addressed to the Bulgarian Minister for Foreign Affairs on June 24th, 1937, the Belgian Minister proposed the conclusion of a *compromis* for submitting the dispute to the Court, stating that it fell within the class of disputes which the provisions of Articles 4 to 6 of the Treaty of 1931 permitted to be taken to the Court by unilateral application unless agreement was reached for submitting them to arbitration; reference was made parenthetically only to the declaration by which in 1921 Bulgaria had recognized the obligatory jurisdiction of the Court, but no mention was made of the declaration by which Belgium had recognized the Court's obligatory jurisdiction and no indication was given of any desire on the part of the Belgian Government to avail itself of the reciprocal declarations of Belgium and Bulgaria. On July 30th, 1937, the Belgian Minister informed the Bulgarian Minister for Foreign Affairs that as the Belgian Government saw no possibility of an agreement between the two Governments for submitting the dispute to arbitration in accordance with the provisions of the Treaty of 1931, the dispute would be put before the Court by the

unilateral application of the Belgian Government. In his reply of August 3rd, 1937, the Minister for Foreign Affairs referred to the Belgian Government's intention to go before the Court by unilateral application based on the Treaty of 1931, and he gave notice of the Bulgarian Government's intention to avail itself of the privilege accorded by Article 3 of that Treaty.

These were the communications exchanged by the Parties prior to the filing of the Belgian Application. They gave no indication that any source of the Court's jurisdiction was to be relied upon other than the Treaty of 1931. References by the Parties to the sources of the Court's jurisdiction may now be traced through the documents of the written proceedings.

The Belgian Application filed with the Registry of the Court on January 26th, 1938, referred to two sources of jurisdiction :

(1) the declarations of adherence made by Belgium and Bulgaria to the Optional Clause accepting as compulsory the jurisdiction of the Court, which declarations were respectively ratified on March 10th, 1926, and August 12th, 1921 ;

(2) the Treaty of conciliation, arbitration and judicial settlement concluded between the two countries on June 23rd, 1931.

The Memorial presented by the Belgian Government contained (pp. 18-19) a section entitled "*La compétence de la Cour*", in which it was said that the Belgian Government found a justification of the Court's jurisdiction in the Treaty of 1931, and Articles 4 and 37 of the Treaty were set out *in extenso* ; the Memorial proceeded to state that *surabondamment* the Belgian Government based the Court's jurisdiction on the "declarations of adherence of Belgium and of Bulgaria to the Optional Clause", but the texts of these declarations were not set forth. In the additional Memorial subsequently submitted by the Belgian Government, it was said (p. 9) that the Treaty of 1931 had been indicated in the Memorial as a basis of jurisdiction *en deuxième lieu* ; and reference was made (p. 15) *au fondement de compétence de la Cour que surabondamment la Partie demanderesse croit trouver dans le Traité de 1931*.

On its side, the Bulgarian Government expressed the view (Bulgarian Memorial, p. 8) that the Belgian contentions as to the Court's jurisdiction were justified neither on the basis of the declarations cited nor on the basis of the Treaty of 1931.

It was only in the oral proceedings that reference was made to the relation existing between the Treaty of 1931 and the earlier declarations, as possible sources of the Court's jurisdiction to deal with this case. Though the Belgian Agent had contended that *chacun de ces deux actes suffit en réalité à lui seul pour étayer nos revendications*, M. Rolin, Counsel for the Belgian Government, expressed the view (*Exposés oraux*,

pp. 49-50) that it would be absurd to imagine that it had been intended by the Belgian and the Bulgarian Governments in 1931 to create an additional system to be in force cumulatively with the Optional Clause by which the two States were already bound; and that, during the period when it was in force, the Treaty of 1931 prevailed over the Optional Clause. Hence he concluded that the legal relations between Belgium and Bulgaria were governed as follows: until February 3rd, 1933, by the Optional Clause; from February 3rd, 1933—date of the entry into force of the Treaty of 1931¹—to February 3rd, 1938, by the Treaty; and since February 3rd, 1938, by the Optional Clause. Later in the course of his *exposé*, however, M. Rolin stated (p. 56) that reflection had led him to question the correctness of his earlier statement; with the result that, after reflection, he considered that in the period during which the Treaty was in force the Court could take the Optional Clause into consideration *dans la mesure où elle n'est pas modifiée par les amendements qu'éventuellement y a apportés le Traité entre la Belgique et la Bulgarie*.

In reply to M. Rolin's statement, the Bulgarian Agent gave (pp. 74-75) various reasons for the Bulgarian view that the Treaty of 1931 did not suspend the functioning of the Optional Clause; he contended that, with respect to the obligation of judicial settlement, the Treaty of 1931 left intact the pre-existing legal situation, and that the dispositions in the Treaty concerning judicial settlement served only the purpose of a reference to the pre-existing situation, without effecting any modification in that situation.

On this presentation of the problem as to the source or sources of the Court's jurisdiction, it is necessary to consider in some detail the legal obligations of Belgium and Bulgaria *inter se* with reference to the jurisdiction of the Court, as they existed on January 26th, 1938, the date when the Belgian Application was filed.

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On August 12th, 1921, the Bulgarian Government deposited at Geneva a ratification of a declaration made on July 29th, 1921, in connection with Bulgaria's signature of the Optional Clause, the text of which was as follows:

¹ The exchange of ratifications of the Treaty of 1931 took place not on February 3rd, but on February 4th, 1933.

"On behalf of the Government of the Kingdom of Bulgaria I recognize, in relation to any other Member or State which accepts the same obligation, the jurisdiction of the Court as compulsory *ipso facto* and without any special convention, unconditionally."

On September 25th, 1925, the Optional Clause was signed on behalf of Belgium, with the following declaration:

"On behalf of the Belgian Government, I recognize as compulsory, *ipso facto* and without special agreement, in relation to any other Member or State accepting the same obligation, the jurisdiction of the Court in conformity with Article 36, paragraph 2, of the Statute of the Court for a period of fifteen years, in any disputes arising after the ratification of the present declaration with regard to situations or facts subsequent to this ratification, except in cases where the Parties have agreed or shall agree to have recourse to another method of pacific settlement."

A ratification of the Belgian declaration was deposited at Geneva on March 10th, 1926. After this date, therefore, Belgium and Bulgaria were bound *inter se* to recognize the Court's jurisdiction with respect to the disputes enumerated in Article 36, paragraph 2, of the Statute, with the two exceptions established by the Belgian declaration, i.e., excepting (1) disputes arising before March 10th, 1926, and (2) disputes with regard to situations or facts prior to March 10th, 1926. The obligation of the two States was not applicable, however, in cases where the Parties had agreed or might agree to have recourse to another method of pacific settlement.

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On June 23rd, 1931, representatives of Belgium and Bulgaria signed a Treaty of conciliation, arbitration and judicial settlement, so entitled; ratifications of this Treaty were exchanged on February 4th, 1933¹. On that date, in accordance with the provisions in Article 37 (2), the Treaty entered into force for a period of five years, expiring on February 4th, 1938. On August 3rd, 1938, six months before the expiration of the five-year period and in accordance with the provisions in Article 37 (3), the Treaty was "denounced" by Bulgaria; hence it did not continue in force for an additional period of five years after February 4th, 1938.

The Treaty provides (Art. 1) that disputes of every kind which may arise between the Parties and which it may not have been possible to settle by diplomacy shall be submitted

¹The Treaty was registered with the Secretariat of the League of Nations, No. 3156, on March 3rd, 1933. 137 *League of Nations Treaty Series*, p. 191.

to judicial settlement or arbitration, preceded either obligatorily or optionally by a procedure of conciliation. Disputes "with regard to which the Parties are in conflict as to their respective rights"—it is expressly stated that these disputes include those mentioned in Article 36 of the Court's Statute—are to be submitted to the Court (Art. 4) unless the Parties agree upon resort to an arbitral tribunal. Provision is made for the procedure of arbitration of such disputes if the Parties agree on arbitration, and also for a procedure of conciliation of such disputes if the Parties agree on conciliation. As to disputes other than those "with regard to which the Parties are in conflict as to their respective rights", a procedure of conciliation is made obligatory (Art. 8), elaborate provision being made for the conduct of this procedure; and if the conciliation does not lead to an agreement between the Parties, arbitration then becomes obligatory for these disputes (Art. 24), provision being made for constituting the arbitral tribunal and for the procedure to be followed.

Comparing the Treaty of 1931, in so far as it relates to judicial settlement, with the reciprocal declarations made by Belgium and Bulgaria under Article 36, paragraph 2, of the Statute, it will be seen that the Treaty provision for judicial settlement by the Court applies to all the legal disputes which would be covered by the declarations, and it may go further in that it applies to all disputes with regard to which the Parties are in conflict as to their respective rights. The Treaty is also more extensive in that it does not exclude disputes with regard to situations or facts anterior to March 10th, 1926. On the other hand, the Treaty contains two conditions not set by the reciprocal declarations; under Article 1 of the Treaty, the dispute must be one "which it may not have been possible to settle by diplomacy"; and under Article 3 of the Treaty, if the dispute is one of which the subject (Fr. *objet*) according to the law of one of the Parties falls within the competence of its judicial or administrative authorities, that Party may object to the dispute's being submitted for settlement by a method laid down in the Treaty until a definitive decision has been pronounced within a reasonable time by the competent authority. One other difference is to be noted: while the Bulgarian declaration of 1921 was not limited to any period of time, the Belgian declaration was limited to a period of fifteen years expiring on March 10th, 1941; the Treaty on the other hand was concluded for successive five-year periods, and as events turned out it ceased to be in force at the end of the first period of five years, i.e., on February 4th, 1938.

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This being the situation, the Court must say what law obtained between Bulgaria and Belgium on January 26th, 1938, the date of the filing of the Belgian Application. The fact that the Treaty of 1931 ceased to be in force some nine days later can have no bearing on the Court's jurisdiction with respect to this case. If the jurisdiction existed on January 26th, 1938, it will continue until the case is disposed of in due course; this is expressly recognized, indeed, in Article 37 (4) of the Treaty.

On January 26th, 1938, then, were the provisions of the Treaty of 1931 operative? Were the reciprocal declarations made by Belgium and Bulgaria under Article 36, paragraph 2, of the Statute, also operative? And if the latter question be answered in the affirmative, do the reciprocal declarations and the Treaty constitute independent ways of access to the Court? Or are their provisions in some way cumulative, so as to require that the conditions of both must be met before the Court's jurisdiction can be invoked? These questions will have to be considered, however, only if both the reciprocal declarations and the Treaty of 1931 are found to be applicable, in their terms, to this case.

The jurisdiction conferred on the Court by the Belgian declaration is in terms not applicable "in cases where the Parties have agreed or shall agree to have recourse to another method [Fr. *mode*] of pacific settlement". The first question is whether this is such a case, whether the Treaty of 1931 constitutes, for cases falling under Article 36, paragraph 2, of the Statute, "another method of pacific settlement" upon which the Parties have agreed.

Article 4 of the Treaty of 1931 requires recourse to the Court "unless the Parties agree, in the manner hereinafter provided, to have resort to an arbitral tribunal"; and Article 5 provides for giving effect to such an agreement for arbitration. Under Article 7 of the Treaty, before any resort to the Court or to an arbitral tribunal, "the Parties may agree to have recourse to the conciliation procedure provided for in the present Treaty". Hence it would seem that for the legal disputes which are covered by Article 36, paragraph 2, of the Statute and to which the reciprocal declarations of Belgium and Bulgaria apply, the Treaty provides not a system of judicial settlement alone, but a system of conciliation, arbitration and judicial settlement, all three of which are in a sense bound together. Disputes for which the declarations provide a settlement by the Court may under the Treaty be referred to the Court,

or to arbitration, or to conciliation followed (if necessary) by the Court's adjudication, or to conciliation followed (if necessary) by arbitration. The system of the Treaty is then different from the system of the declarations, though the judicial settlement (as distinguished from arbitration) is in both systems confided to the Court. It may be said, however, that under the Treaty an agreement between the Parties is necessary before conciliation or arbitration can be substituted for or placed before judicial settlement, and that even under the declarations it was open to the Parties to agree upon the conciliation or the arbitration of a dispute as an alternative to judicial settlement. Yet the system of the Treaty is in this respect different from that of the reciprocal declarations, because the Treaty provides in terms for the alternative and lays down the lines which the alternative is to follow.

The two systems being different, it would seem that this is a case in which the Parties have agreed, in the terms of the Belgian declaration, "to have recourse to another method of pacific settlement". If this conclusion be sound, the reciprocal declarations by Belgium and Bulgaria are not to be applied as a source of jurisdiction in this case, and the Court's jurisdiction may be sought only in the Treaty of 1931.

Note may here be made of Article 2 of the Treaty of 1931 which provides that "disputes for the settlement of which a special procedure is laid down in other conventions in force" between the Parties "shall be settled in conformity with the provisions of such conventions". It is not a simple matter to give a precise meaning to this provision¹; but it would seem quite clear that the Belgian and Bulgarian declarations are not in this sense a convention laying down "a special procedure" for the settlement of the legal disputes covered by Article 36, paragraph 2, of the Statute.

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If it should be thought that the Treaty of 1931 does not provide for "another method of pacific settlement" within the meaning of the concluding phrase of the Belgian declaration, the Court would then have before it two texts—the reciprocal declarations of Belgium and Bulgaria on the one hand, and the Treaty of 1931 on the other hand—dealing with the same

¹ See the strictures on this provision by "Gallus" (a pseudonym), in 57 *Revue de Droit international et de Législation comparée* (1930), p. 879.

general subject-matter. In such a situation the relation between the two texts cannot be disregarded.

Each of the texts is a statement of the Parties' intention to confer jurisdiction on the Court, but the jurisdiction is not the same in each case. In consequence of the reserve in the Belgian declaration, the reciprocal declarations had the effect of confining the Court's obligatory jurisdiction to disputes with regard to situations or facts posterior to March 10th, 1926; the text of the Treaty, on the other hand, is quite opposed to this limitation. Article 4 of the Treaty gives the Court jurisdiction over "all disputes with regard to which the Parties are in conflict as to their respective rights"; these are expressly said to include the disputes "mentioned in Article 36 of the Statute", to some of which the reciprocal declarations apply, and the Treaty does not exclude disputes with regard to situations or facts anterior to any particular date. Clearly, therefore, the Treaty's provision for the Court's jurisdiction is inconsistent with that of the reciprocal declarations, and in this case the two sources cannot be drawn upon simultaneously.

Called upon to choose which of the two texts is to govern in this case, the Court must apply a general principle of law, and it must say that the expression of the Parties' intention which is the later in point of time should prevail over that which is the earlier. The Parties had it in their power to enlarge their legal obligations resulting from the declarations, and this they did by the Treaty of 1931 which confers on the Court a more extensive jurisdiction than that conferred by the declarations. Moreover, the Treaty is an instrument which was drawn up to apply specially to the relations of Belgium and Bulgaria; the declarations were not drawn up with reference to the relations of Belgium and Bulgaria alone, each declaration being made by one of these States with reference to its relations with all other States recognizing the Court's jurisdiction as provided for in Article 36, paragraph 2, of the Statute. Whereas the declarations were of possible and actual interest to many States, the Treaty, though it followed a standard model, concerned only the two signatory States. If it is to be said that the special prevails over the general instrument, or that the more extensive prevails over the less extensive provision, the result here will coincide with the application of the rule that a later will prevail over an earlier text¹.

¹ On this point, see the discussion by "Gallus" in 8 *Revue de Droit international* (1931), pp. 392-395.

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If confirmation is desired of the Parties' intentions that the Treaty should confer on the Court a jurisdiction more extensive than that conferred by the reciprocal declarations and not limited to disputes with regard to situations or facts posterior to March 10th, 1926, it can be found in what may be referred to as the pre-natal history of the Treaty of 1931. Though a reference to this history was made by the Bulgarian Agent, neither of the Parties endeavoured to place the whole record before the Court. The preamble to the Treaty of 1931 recalls a recommendation made by the Assembly of the League of Nations in a resolution of September 26th, 1928; this in itself is a basis for summoning the aid of the Treaty's history.

In 1927, the Eighth Assembly of the League of Nations, "anxious to bring about the political conditions calculated to assure the success of the work of disarmament", recommended "the progressive extension of arbitration by means of special or collective agreements". To this end, it asked the Council to instruct the Preparatory Disarmament Commission to create a committee to consider measures which might be taken "with a view to promoting, generalizing, and co-ordinating special or collective agreements on arbitration and security"¹. As a result of this resolution, a Committee on Arbitration and Security was created, to which the Swedish Government suggested the idea of a collective agreement based on the Locarno treaties; this Committee prepared various drafts of conventions on pacific settlement, all of which were faithful to the Locarno formulæ in that they contained provisions for excluding from the Court's jurisdiction disputes concerning anterior facts². The work of the Committee on Arbitration and Security led to the adoption by the Ninth Assembly of the resolution of September 26th, 1928³, to which reference is made in the preamble of the Belgian-Bulgarian Treaty of June 23rd, 1931. This resolution invited States to accept obligations concerning pacific settlement "either by becoming parties to the annexed General Act, or by concluding particular conventions with individual States in accordance with the model bilateral conventions annexed hereto". To the resolution were annexed a draft General Act and drafts of three model bilateral conventions, "Convention *a*", "Convention *b*", and "Convention *c*". The annexed General Act contained in Article 39 provision for possible reservations which would "exclude from the procedure" provided for, "disputes arising out

¹ Records of Eighth Assembly, Plenary, pp. 177-178.

² League of Nations Document, C. 358. M. 112. 1928. IX.

³ Records of Ninth Assembly, Plenary, p. 182.

of facts prior" to accession to the Act. The annexed model bilateral "Convention *a*" contained, between Article 34 and Article 35, the word "Article¹"; no number was assigned to this "article" and no text was given, but the footnote to which the figure "1" referred suggested that "States desiring to introduce reservations might insert here an article based on Article 39 of the General Act...."². Similar provisions were included in models "*b*" and "*c*". Thus, the text of the draft General Act provided expressly for possible reservations excluding disputes arising out of anterior facts, and the texts of the model bilateral conventions carried an unnumbered blank article referring to a footnote which called attention to the possibility of the same reservation.

"Convention *a*", as annexed to the Assembly resolution of September 26th, 1928, served as the model of the Belgian-Bulgarian Treaty of June 23rd, 1931; in general the text of the Treaty follows almost verbatim that of the draft. Two significant departures are to be noted, however:

(1) The suggestion in the unnumbered, blank article placed between Article 34 and Article 35 of the draft was completely rejected when the Treaty was drafted. For the text of the Treaty contains no reference to the exclusion of disputes with regard to anterior facts, and neither in signing nor in ratifying the Treaty did the Parties make any such reservation. This would seem to be a clear indication of the Parties' intention that disputes with regard to anterior facts should not be excluded from the jurisdiction conferred on the Court by the Treaty of 1931.

(2) Article 2 of "Convention *a*", following Article 29 of the General Act, contains these provisions:

"1. Disputes for the settlement of which a special procedure is laid down in other conventions in force between the Parties shall be settled in conformity with the provisions of those conventions.

2. The present Convention shall not affect any agreements in force by which conciliation procedure is established between the High Contracting Parties or they are bound by obligations to resort to arbitration or judicial settlement which ensure the settlement of the dispute. If, however, these agreements provide only for a procedure of conciliation, after such procedure has been followed without result, the provisions of the present Convention concerning judicial settlement or arbitration shall be applied."

¹ League of Nations Document, C. 358. M. 112. 1928. IX.

² This note is to be found with the text of "Convention *a*" as published in League of Nations Document C. 536. M. 163. 1928. IX; in Records of Ninth Assembly, Plenary, p. 502; and in *League of Nations Official Journal*. Special Supplement No. 63, p. 31.

The text of Article 2 of the Treaty of 1931 is quite different, running as follows:

“Disputes for the settlement of which a special procedure is laid down in other conventions in force between the High Contracting Parties shall be settled in conformity with the provisions of such conventions. Nevertheless, should the settlement of the dispute not be achieved by application of this procedure, the provisions of the present Treaty concerning arbitration or judicial settlement shall be applied.”

The Treaty of 1931 thus fails to include the provision in paragraph 2 of Article 2 of the model adopted by the Assembly, which was designed to continue the operation of prior obligations, such as those of reciprocal declarations under Article 36, paragraph 2, of the Statute. This is another indication of the Parties' intention that Article 4 of the Treaty of 1931 was to free them of the limitations established by the reciprocal declarations, so long as the Treaty should remain in force.

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Further indication of the Parties' intentions as to the scope of the Treaty of 1931 may be sought in the general policy followed by each of the two signatory States in entering into treaties with other States.

Bulgaria's general policy is quite consistently that indicated in the Bulgarian declaration of 1921. Though Bulgaria did not accede to the General Act of 1928, it entered into a number of treaties which follow the model drafts adopted by the Assembly in 1928: with *Turkey*, March 6th, 1929¹; with *Hungary*, July 22nd, 1929²; with *Poland*, December 31st, 1929³; with *Spain*, June 26th, 1931⁴; with *Norway*, November 26th, 1931⁵; with *Denmark*, December 7th, 1935⁶; and with *Latvia*, May 23rd, 1933. Of these treaties only that with Poland excluded disputes with regard to anterior situations or facts⁷.

Belgium seems for a time to have assigned great importance to the exclusion of disputes with regard to anterior situations or facts. Soon after the signature of its declaration of September 25th, 1925, Belgium entered into a treaty with

¹ 114 *League of Nations Treaty Series*, p. 399.

² 101 *idem*, p. 41.

³ 113 *idem*, p. 89.

⁴ 166 *idem*, p. 341.

⁵ 134 *idem*, p. 27.

⁶ 182 *idem*, p. 183.

⁷ Bulgaria's treaties with the United States of America, of January 21st, 1929 (93 *idem*, pp. 331, 337), and its treaty with Mexico, of November 5th, 1936 (187 *idem*, p. 37), follow special forms.

Germany, initialled at Locarno on October 16th, 1925¹, which (Art. 1) did not apply to "disputes arising out of events prior to the present Convention and belonging to the past". Then followed treaties with *Sweden*, April 30th, 1926²; with *Switzerland*, February 5th, 1927³; with *Denmark*, March 3rd, 1927⁴; with *Finland*, March 4th, 1927⁵; with *Portugal*, July 9th, 1927⁶; and with *Poland*, October 25th, 1928⁷—all of which expressly excluded either disputes with regard to anterior situations or facts, or disputes arising out of prior events. A treaty with *Spain*, July 19th, 1927⁸, did not contain the exclusion, but the final protocol gave a reason for this, *viz.*, that no dispute was then pending between the two States. A treaty with *Luxemburg*, October 17th, 1927⁹, on the other hand, provided (Art. 1) for its application to the disputes for the solution of which a method of pacific settlement had been provided by the Economic Convention between the two countries, even when such disputes referred to facts prior to the conclusion of the treaty.

Following the Assembly's adoption of its resolution of September 26th, 1928, Belgium acceded to the General Act on May 18th, 1929, with a reservation as to disputes arising out of anterior facts¹⁰; but thereafter some change is noticeable in Belgian policy. Belgium's treaties with *Czechoslovakia*, April 23rd, 1929¹¹; with *Greece*, June 25th, 1929¹²; with *Lithuania*, September 24th, 1930¹³; and with *Bulgaria*, June 23rd, 1931, followed the Assembly's model "Convention a", and none of them referred to the exclusion of disputes with regard to anterior situations or facts. A treaty with *Yugoslavia*, March 25th, 1930¹⁴, did not apply to "disputes which arose prior to the conclusion of the present Convention" ("différends nés antérieurement à la conclusion de la présente Convention"); while treaties with *Roumania*, July 8th, 1930¹⁵, with *Turkey*, April 18th, 1931¹⁶, and with *Venezuela*, August 14th, 1935¹⁷, did not apply

¹ 54 *League of Nations Treaty Series*, p. 303.

² 67 *idem*, p. 91.

³ 68 *idem*, p. 45.

⁴ 67 *idem*, p. 117.

⁵ 69 *idem*, p. 361.

⁶ 74 *idem*, p. 39.

⁷ Publications of the Court, Series D, No. 6, p. 308.

⁸ 80 *League of Nations Treaty Series*, p. 17.

⁹ 124 *idem*, p. 203.

¹⁰ 93 *idem*, p. 344.

¹¹ 110 *idem*, p. 113.

¹² 113 *idem*, p. 117.

¹³ 129 *idem*, p. 399.

¹⁴ 106 *idem*, p. 343.

¹⁵ 128 *idem*, p. 403.

¹⁶ Publications of the Court, Series D, No. 6, p. 475.

¹⁷ *Documents parlementaires* (Belgique), 1935-1936, No. 75.

to disputes arising out of anterior facts and belonging to the past¹.

Of course the inclusions and exclusions in a treaty may be due to insistence by either of the parties to the treaty. Yet this record seems to point to the conclusion that the omission of the exclusion from the Belgian-Bulgarian Treaty of 1931 was effected entirely by design, and that it was due to an intention that the provisions of the Treaty should apply to all disputes whether they concerned anterior or posterior situations or facts. While some of the States with which Belgium entered into these treaties were previously bound by declarations under Article 36, paragraph 2, of the Court's Statute, others were not; so that the difference in the texts of the treaties cannot be explained by the previous position of these States with reference to such declarations.

A further point may be mentioned as to the character of the Treaty of 1931. On September 26th, 1928, the Council of the League of Nations instructed the Secretariat to prepare "an introductory note explaining the structure of the treaties", drafts of which had on that date been adopted by the Assembly, and the note was to be communicated to Governments along with the texts². On October 15th, 1928, the Secretariat issued a document containing the texts of the General Act and the model bilateral conventions, with an "Introductory Note to the General Act and the model bilateral Conventions *a, b, c*, for the Pacific Settlement of International Disputes"³. In this Introductory Note it is said (p. 8) that "the General Act and the three bilateral conventions are in substance the same"; and (on p. 9) it is said that "the conventions had been drafted in such a manner that they in no way affect other conventions of any kind which States may have concluded or may conclude for the pacific settlement of disputes. The new conventions will only be applied subsidiarily and will only settle disputes which do not come within the scope of other conventions." The importance of this statement is not to be minimized; it is confirmed in the studies of the General Act by the well-informed "Gallus", published in the *Revue de Droit international et de Législation comparée*⁴ and in the *Revue de Droit international*⁵. "Gallus" stresses the subsidiary character of the General Act, derived from paragraph 2 of Article 29;

¹ Belgium's treaties with the United States of America of March 20th, 1929 (109 *League of Nations Treaty Series*, pp. 261, 267), and its treaty with Persia of May 26th, 1929 (110 *idem*, p. 369), follow special forms.

² *League of Nations Official Journal*, 1928, p. 1670.

³ Document C. 536. M. 163. 1928. IX.

⁴ Volume 57 (1930), pp. 190-246, 413-472, 878-925.

⁵ Volume 8 (1931), pp. 377-424.

and it has been noted above that the model "Convention a" contained a counterpart of that paragraph in its Article 2. The statement quoted from the Introductory Note is applicable to the General Act because of the provision in Article 29, paragraph 2, and to the model bilateral "Convention a" because of the provision in Article 2, paragraph 2. It does not apply to the Treaty of 1931, however, for that Treaty contains no provision corresponding to Article 29, paragraph 2, of the General Act, or to Article 2, paragraph 2, of "Convention a".

If it had been the intention of the Belgian and Bulgarian Governments that their obligations under the reciprocal declarations should continue unmodified during the period when the Treaty of 1931 was in force, this result could have been accomplished by a simple expedient. The two States might have acted on the Assembly's suggestion in the blank, unnumbered article in Convention "a" and made a reservation as to disputes with regard to anterior facts; or they might have retained in the Treaty a provision corresponding to Article 2, paragraph 2, of "Convention a"; or they might have stated expressly that the Treaty did not in any way modify the effect of the prior declarations. It is not without interest in this connection that this last suggested course was taken by certain other States in concluding similar treaties¹, and even by Belgium in concluding the Treaty with Persia of May 23rd, 1929².

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To summarize what has been said, first of all the reciprocal declarations are not applicable in this case because it is a case for which, to employ the concluding phrase of the Belgian declaration, the Parties have agreed "to have recourse to another method of pacific settlement", the method of the Treaty of 1931. Even if this view be rejected, however, as the text of the Treaty is inconsistent with the texts of the reciprocal declarations and as it is later in point of time, the Treaty must prevail over the declarations during the period when the Treaty is in force. The history of the Treaty shows that the Parties intended for a period to free themselves of the reserve in the Belgian declaration, and to include in the

¹ See the final protocol to the Austrian-Swiss Treaty of October 11th, 1924, 33 *League of Nations Treaty Series*, p. 432; the additional protocol to the Convention of January 17th, 1925, between Estonia, Finland, Latvia and Poland, 38 *idem*, p. 368; and the protocol of signature to the Norwegian-Polish Treaty of December 9th, 1929, 101 *idem*, p. 340.

² 110 *idem*, p. 369.

jurisdiction conferred on the Court disputes with regard to anterior situations or facts. This is borne out, also, by the policy followed both by Bulgaria and by Belgium in concluding treaties with other States. Two essential differences existing between the Treaty of 1931 and "Convention *a*" of 1928 make it impossible to attribute to the former the subsidiary character which may be attributed to the latter.

The conclusion to be drawn is that on January 26th, 1938, while the Treaty of 1931 was in force, the relations between Belgium and Bulgaria with respect to the jurisdiction of the Court were governed by the Treaty of 1931 and not by the reciprocal declarations made under Article 36, paragraph 2, of the Statute. Hence, the Treaty of 1931 is the sole possible source of the Court's jurisdiction to deal with this case.

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The conclusion that the Court's jurisdiction to deal with this case must be derived, if at all, from the Treaty of 1931 makes it unnecessary to enquire whether the condition set by the Belgian declaration, that the dispute must be with regard to situations or facts posterior to March 10th, 1926, has been fulfilled in this case. The conclusion makes it necessary, however, to enquire as to the fulfilment in this case of the two conditions set by the Treaty of 1931, (1) the requirement of Article 1 that the dispute must be one "which it may not have been possible to settle by diplomacy", and (2) the requirement that on the hypotheses set out in Article 3 a definitive decision must have been pronounced by a competent local authority. Both of these questions have been raised in connection with the Bulgarian preliminary exception.

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The provision in Article 1 of the Treaty, that the dispute must be one which it may not have been possible to settle by diplomacy, is not a meaningless formality. In the past the Court has drawn attention to the importance of prior negotiations¹, and where the requirement is expressly laid down in a treaty it cannot be disregarded. What is essential is that prior to the filing of an application by one party bringing the dispute before the Court, the other party must have been given the opportunity to formulate and to express its views on the subject of the dispute. Only diplomatic negotiations will have afforded such an opportunity. The precise point at which it may properly be said that the negotiations instituted cannot

¹ In the *Mavrommatis* case, Series A, No. 2, p. 15.

result in a settlement of the dispute may have to depend, as the Court has also recognized¹, upon "the views of the States concerned".

The submissions of the Belgian Government, as stated in its Application and in its Memorial, relate to the alleged failure of Bulgaria in its international obligations (1) by reason of the tariff put into force in 1934 by the State Administration of Mines, to enable the Municipality of Sofia to distort the application of the decisions given by the Mixed Arbitral Tribunal in 1923 and 1925²; (2) by reason of the judgments of Bulgarian courts which deprived the Electricity Company of Sofia and Bulgaria of the benefit of the decisions of the Mixed Arbitral Tribunal; and (3) by reason of the promulgation of the law of February 3rd, 1936, establishing a tax on the distribution of electric power purchased from concerns not subject to tax. In so far as Belgium's claims are based on grounds (1) and (2), they were the subject of diplomatic negotiations prior to the filing of the Belgian Application on January 26th, 1938. It may therefore be said that the dispute with respect to these claims was one which, in the language of Article 1 of the Treaty of 1931, it was not "possible to settle by diplomacy".

With respect to the claim based on ground (3), i.e. on the promulgation of the Bulgarian law of February 3rd, 1936, the situation is different. This law was not referred to in the previous diplomatic correspondence put before the Court; indeed, in the Additional Memorial of the Belgian Government (p. 16), it was said that the Belgian Government had judged it useless to engage in special negotiations relating to this part of its claim. Though this statement was somewhat modified by the Belgian Agent in the course of the oral proceedings, no proof was furnished of any diplomatic negotiations relating to the law of 1936 which may have taken place prior to the filing of the Belgian Application. It seems clear, therefore, that the condition set by Article 1 of the Treaty was not met with regard to the Belgian claims based upon the promulgation of the Bulgarian law of February 3rd, 1936. Hence the Court lacks jurisdiction to deal with this part of the Belgian claim.

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It remains to enquire whether the condition set by Article 3 of the Treaty has been met with reference to that part of the Belgian claims which relates to (1) the tariff put into force in 1934 by the State Administration of Mines, and (2)

¹ Series A, No. 2, p. 15.

² These decisions are reported in 3 *Recueil des Décisions des Tribunaux arbitraux mixtes*, p. 308, and 5 *idem*, pp. 758, 770.

the judgments of the Bulgarian courts, i.e. the action taken by administrative and judicial authorities in Bulgaria in connection with the application of the price formula fixed by the Mixed Arbitral Tribunal in 1925.

The first paragraph of Article 3 of the Treaty reads as follows :

“In the case of a dispute the occasion [Fr. *objet*] of which, according to the municipal law of one of the High Contracting Parties, falls within the competence of its judicial or administrative authorities, the Party in question may object to the matter in dispute being submitted for settlement by the different methods laid down in the present Treaty until a decision with final effect has been pronounced within a reasonable time by the competent authority.”

The provision has some resemblance to, but should not be confused with, the common-law rule concerning the exhaustion of local remedies, which was recently applied by the Court in the case of the Panevezys-Saldutiskis Railway¹. Provisions of similar import are to be found in a large number of recent treaties.

It was not seriously contested in this case that under Bulgarian law the application of the price formula fixed by the Mixed Arbitral Tribunal in 1925 is a subject (Fr. *objet*) which, in the first instance at any rate, falls within the competence of the Bulgarian authorities. The exclusive competence of the Bulgarian courts over disputes on this subject was asserted by the Bulgarian Minister for Foreign Affairs in his letter of August 3rd, 1937, addressed to the Belgian Minister ; but it was also stated in that letter that, *par application de l'article 3 du même traité* (i.e., the Treaty of 1931), *le Gouvernement bulgare revendique, en l'occurrence, la compétence de ses propres tribunaux, et il ne saurait consentir à ce que le différend soit soumis aux diverses procédures prévues par ledit traité*. It would seem to be possible to conclude that for the purpose of applying Article 3 of the Treaty of 1931 the necessary hypotheses exist in this case. The dispute here is one the subject (Fr. *objet*) of which, according to Bulgarian law, falls within the competence of the judicial or administrative authorities of Bulgaria ; and by the letter of August 3rd, 1937, Bulgaria did object to this dispute's being submitted for settlement by a method laid down in the Treaty. That objection is a bar to an exercise of the jurisdiction conferred on the Court “until a decision with final effect has been pronounced within a reasonable time by the competent authority”.

In 1936, the Municipality of Sofia instituted an action in the Regional Tribunal of Sofia against the *Compagnie d'Électricité*

¹ Series A/B, No. 76.

de Sofia et de Bulgarie, seeking a determination of its rights and obligations with reference to the sale-price of electricity at Sofia. The *Compagnie* defended this action, contending *inter alia* that the Tribunal lacked jurisdiction. Judgments were rendered in this action by the Regional Tribunal of Sofia on April 30th, 1936, May 26th, 1936, and October 24th, 1936. The *Compagnie*, and later the Municipality, appealed to the Court of Appeal, which gave its judgment on March 27th, 1937. An appeal (*pourvoi*) taken to the *Cour de cassation* by the *Compagnie* on June 23rd, 1937, was rejected on March 16th, 1938. It is not contended that the interval between June 23rd, 1937, and March 16th, 1938, was more than a reasonable period within the requirement of Article 3 of the Treaty of 1931. This being the case, the facts seem to show quite clearly that when the Belgian Application was filed on January 26th, 1938, the *décision définitive* required by Article 3 had not yet been pronounced by the competent authority.

The conclusion follows that Article 3 of the Treaty of 1931 prevents the Court from exercising the jurisdiction referred to in Article 4 of that Treaty, with respect to the Belgian claim based upon the action taken by the State Administration of Mines in 1934 and the judgments of the Bulgarian courts in connection with the application of the price formula fixed by the Mixed Arbitral Tribunal in 1925.

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I am therefore of the opinion that the Court's jurisdiction in this case must be derived, if at all, from the Belgian-Bulgarian Treaty of June 23rd, 1931; that under Article 1 of that Treaty the Court has no jurisdiction to deal with the Belgian claim relating to the promulgation of the Bulgarian law of February 3rd, 1936; and that under Article 3 of that Treaty the Court is precluded from exercising the jurisdiction which would have been conferred by Article 4 of the Treaty with respect to the Belgian claim based upon the action taken in 1934 by the State Administration of Mines and upon the judgments of the Bulgarian courts in connection with the application of the price formula fixed by the Mixed Arbitral Tribunal in 1925.

On this view it is unnecessary to consider other questions which have been discussed before the Court.

For these reasons, I think the preliminary objection advanced by the Bulgarian Government ought to be upheld.

(Signed) MANLEY O. HUDSON.